



POLICY BRIEF

Youth Unemployment in Greece: Evaluating the YEI and Strategic Recommendations

Forwarded to the European Commission funding the Youth Employment Initiative (YEI) in Greece

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EXECUTIVE SUMMARY

In the aftermath of Greece's 2008 financial crisis, wide-ranging austerity measures were implemented to increase economic flexibility and mitigate the recession's impact. Despite these efforts, Greece continues to battle with persistently high youth unemployment rates, significantly surpassing EU averages.

The Youth Employment Initiative (YEI), an essential part of Greece's response, aims to alleviate youth unemployment through targeted interventions such as apprenticeships, job placements, and skills training. However, several challenges hinder YEI's effectiveness: institutional distrust, high participation costs, job scarcity, insecure employment prospects, and skill mismatches.

INTRODUCTION

Following Greece's 2008 crisis, a number of government initiatives were implemented to boost flexibility and slow the slumping economy. In accordance with debtors' guidelines Greece's government set the threshold, lowered the minimum wage for everyone, restricted collective bargaining, tightened unemployment benefits to reduce public spending and relaxed hiring and firing regulations. Although labor market flexibility was mostly preserved by such austerity and restrictive policies, workers nonetheless received lesser severance pay and fewer employment protections (Kretsos, 2014).

In this backdrop, Greece faces a number of economic challenges, but the biggest recession caused was the high youth unemployment rate (15–24, 15–29 years old). The country continues to have some of the highest rates of youth unemployment in the EU, with rates of 55.3% in 2012, 59% in 2013, and 17.3% in 2023. The figure is significantly higher than the comparable unemployment rate for the EU-27, which is 14% on average. (Greece Ministry of Labor, 2014). As famously said “It’s the economy – stupid”, in our policy brief we believe that it’s (not) just the economy—the roots of youth unemployment in Greece extend far beyond economic downturns, encompassing educational mismatches, inadequate training, and social exclusion.

The objective of our policy brief is to evaluate the principal elements that give rise to youth unemployment in Greece beyond the economic downturn and suggest approaches to address this pressing issue. The Greek government's main program under the Greek Youth Guarantee Action Plan, the Youth Employment Initiative (YEI) 2014-2020, is examined in this regard. With our policy brief, we hope to address the following two key questions: 1) To what extent has the YEI helped ensure youth employment during severe austerity measures? 2) Why has youth unemployment persisted to be high in Greece despite these efforts?

WHY HAS YEI NOT BEEN ABLE TO DECREASE THE YOUTH UNEMPLOYMENT RATE?

We have identified five major risks and challenges that significantly hinder progress toward youth employment in Greece.

Challenge 1: Lack of Social Trust Among Stakeholders

The most important element missing in many, if not all, major initiatives combating youth unemployment is the lack of strong institutions to implement these policies. There is a lack of cooperative culture and trust between the public and private sectors. In this case, a form of social contract to align and complement each other's efforts is necessary. Given the size, budget, and number of people benefiting from the YEI, some trust issues are bound to arise. However, building social trust can help navigate the unfavorable economic and institutional structures in Greece.

Challenge 2: High Participation Costs

Despite the recession starting in 2008, the country shows little sign of significant improvement a decade later. To achieve a budget surplus, Greece will need to continue on this path until 2060, highlighting the country's weak financial foundations ("Timeline: Greece's Debt Crisis", n.d.). Youth unemployment is at a dramatic level, and the one-time costs associated with implementing the YEI or similar programs are substantial. Tubadji (2012) gives an example: if youth participating in such initiatives were ensured a minimum wage of €510 gross, finding work for all would require around €92/€221 million per month or €1.1/€2.6 billion per year to employ only youths aged 15-24/15-29 years. However, EU funding for the YEI initiatives is capped at €6 billion, distributed among 28 member states. Where will such significant funding sources come from? This calls for realistic policy intervention and securing financial means between the Greek government and European policymakers.

Challenge 3: There Are Too Many Unemployed

Even if financial means were secured, the problem of too many unemployed presents two issues: limited demand for labor and the need for skilled labor in an already highly competitive/selective market. When aggregate demand falls, it is difficult to persuade firms (most of which in Greece are small or medium-scale) to hire more people, even if hiring rules are relaxed. During a recession, firms prefer to hire experienced workers over novice youths who need longer training periods and greater transition time. For example, during the inception of the YEI in 2015 and its first call for beneficiaries, about 40,000 applications were received for 4,000 placements ("First Results of the Implementation of the Youth Employment Initiative", n.d.). There are too many unemployed but few quality jobs.

Challenge 4: Limited Job Security

While the YEI succeeded in placing a significant number of young people into jobs, internships, and training programs, the sustainability of these outcomes is questionable. An evaluation by the Labour Institute of the Greek General Confederation of Labour (INE-GSEE) shows that many of the jobs created were temporary (8%) or part-time (41%), offering limited job security and career progression. In 2015, out of the 24,760 individuals who completed a YEI intervention, only 6,357 received an offer of employment, continued education, apprenticeship, or traineeship upon completion of the intervention, a figure we deem rather low.

Challenge 5: Skill Mismatches

Although the YEI focuses mainly on skill development, there remains a disconnect between the skills acquired and those demanded by employers. This mismatch has contributed to the persistence of youth unemployment, as many young people find themselves overqualified or underqualified for available positions. For instance, while 51% of offered positions were full-time and 41% part-time, only 54% were relevant to the young people's previous work experience, and 44% were relevant to their studies. This discrepancy suggests that while the YEI focused on practical work placements, the relevance of these placements to participants' skill sets varied widely.

POLICY RECOMMENDATIONS

The policy options provide us with broad approaches, but concrete action needs to be taken in order to support the proper implementation and management of youth unemployment in Greece.

Recommendation 1: Decrease the number of unemployed through good quality jobs.

As outlined above in Challenges 1, 4 and 5 there is a need to decrease the number of unemployed youths especially NEETs. Generation of short-term jobs is not enough, high quality jobs that cater to individual needs should be created. We focus on the ‘high quality’ aspect because many of the NEET are also the ones who have greater education and most likely will resist low wage employment, they would rather remain unemployed for a longer duration than take low skilled jobs. To facilitate monthly wages for part-time jobs needs to be increased with higher forms of flexibility. Or various employment officers need to be assigned to cater specific needs of different categories of people: youths, NEETs, long term unemployed, low or medium skilled. One blanket approach of employment initiative for different workers will not be sustainable in the long term.

Recommendation 2: Enhance VET to address skill mismatches

As outlined in challenge 5 to address skill mismatch the current investment approaches to training programs should be reconsidered. Instead, redirecting funds towards enhancing the reputation and modernization of Vocational Education and Training (VET) schools could yield more sustainable benefits. By adopting a model similar to Germany's, where VET emphasizes a balanced combination of theory and practical training (40% theory and 60% practice), compared to Greece's current model of 75% theory and 25% practice, Greece can better prepare its workforce to meet the demands of the labor market. Further, improving the image of VET involves introducing career counseling services in lower secondary schools to inform students and parents about career opportunities that VET offers. Additionally, creating incentives for companies to participate in apprenticeship programs, such as subsidies for training costs, including wage subsidies covering 30% of the apprentice's salary during the apprenticeship, can make VET more attractive and effective.

Recommendation 3: Ensure institutional trust and collaboration

As outlined in challenge 1 and 2 to address both the lack of social trust among stakeholders and the high participation costs of the YEI in Greece, a robust public-private partnership (PPP) framework is necessary. This initiative could integrate diverse stakeholders including government agencies, private enterprises, educational institutions, and civil society organizations. As a result, Greece can leverage combined expertise, resources, and innovative funding mechanisms to sustain YEI efforts, enhance program efficacy, and effectively tackle youth unemployment challenges amidst economic constraints.

CONCLUSION

While the YEI has made strides in addressing youth unemployment in Greece since its inception, significant challenges persist. The issues of institutional distrust, high participation costs, job scarcity, insecure employment, and skill mismatches continue to undermine its effectiveness. To enhance YEI's impact, it is crucial to focus on creating high-quality jobs tailored to youth needs, reforming vocational education to align with market demands, and fostering institutional trust and collaboration. These recommendations aim to not only mitigate the immediate effects of youth unemployment but also build a sustainable framework for long-term economic resilience and social inclusion in Greece.

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